

THE BITTER TRUTH

FOR THE FIRST TIME IN A DECADE, INDIA IS IMPORTING SUGAR AS PRICES SPIKE AHEAD OF THE FESTIVE SEASON, EVEN AS CONCERNS GROW OVER STOCK MISCALCULATIONS, ETHANOL DIVERSION AND HOARDING

BY ANILESH S. MAHAJAN

In the second week of August, Union minister for consumer affairs, food and public distribution Pralhad Joshi sat with officials of the food department to assess India's sugar stocks. The news was not good. Production in the 2025-26 sugar season (October-September) was expected to be 30.6 million tonnes (MT), 11 per cent below the government's estimate of 34.3 MT, while retail prices hit Rs 50 a kg.

Under limits imposed effective from August 1, dealers could hold only 400 tonnes. On August 19, the ministry imposed bulk-consumer limits effective from September 1, under which confectioners, soft-drink makers, food processors and sweetmeat sellers were restricted to 15 days' consumption. The Centre opened a duty-free window for 1 MT of raw sugar, the first import concession in nearly a decade. Indian buyers began looking for cargoes abroad.

By now, sugar had a wild two months. In Mumbai, the retail price rose from Rs 50 on July 21 to a peak of Rs 68 on August 22, before easing to Rs 61 on September 1. In Uttar Pradesh, India's biggest cane-growing state, wholesale prices were rising two weeks before Ganesh Chaturthi. On September 1, sugar in Kanpur mandis was quoted at Rs 5,850 a quintal, nearly 35 per cent higher than three months earlier.

India had moved, in less than a season, from planning exports to arranging imports. How did this happen? The explanation lies in a sugar economy in which every price or quantity is influenced by the government, but no single authority controls the entire chain.

A CONTROLLED INDUSTRY

Maharashtra, UP and Karnataka together account for more than four-fifths of the country's cane. The industry forms dense regional clusters: western UP and the Terai; western and southern Maharashtra; and northern Karnataka. The clustering is dictated by the crop. Once cut, cane loses sucrose and cannot wait for a distant buyer. A mill must therefore be close to its growers, and farmers are commonly linked to a mill through a reservation or command area, cane